BUSINESS MODEL ASSESSMENT

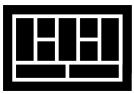


THE BUSINESS
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SUPER GUIDE:
BUSINESS MODEL ASSESSMENT

BY DANIEL PEREIRA



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The Business Model Analyst is a website dedicated to analyzing business model types, patterns, and innovations using the business model canvas as its primary tool. The site offers a wide variety of free and premium content, including digital products such as PDF tools, presentations, spreadsheets, ebooks & guides, and much more. **Check it out here.**

Daniel Pereira
The Business Model Analyst Ottawa, ON, Canada
businessmodelanalyst.com

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INTRODUCTION

At least once a year, it is recommended that we see the doctor and the dentist to check on our health -- even if we have nothing bothering us. Likewise, we periodically take our car to a trusted repair shop to ensure everything is in perfect condition.

For this same reason, it is essential that we evaluate our business model regularly -- to check the company's health and that everything is working as expected. This business model assessment allows us to find out when something needs to be adjusted, reducing the risks and improving the chances of a bright future.

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WHY ASSESS YOUR BUSINESS MODEL?

Simply because just creating a reasonable business model at the beginning of your venture does not mean that it will work out and keep sustainable forever.

The business world is full of companies that started from a great idea but failed along the way. Leaders must perform a business model assessment to:

- Get to know business strengths and weaknesses;
- Evaluate the team performance;
- Establish new goals;
- Delegate tasks and responsibilities to the team members assertively;
- Increase the market share and cash flow;
- Create a plan of action for every weakness or challenge perceived.

However, it is crucial to define an effective tool to validate business models, analyze, monitor, and improve them continuously.

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WHAT MAKES STRONG BUSINESS MODELS?

First of all, to understand if a business model is strong enough, it must have its desirability, viability, and feasibility testing. That means:

- **Desirability:** Do your customers want your product or service? You need to test assumptions around your customers' pain, and the solution developed. That way, you may create your customer acquisition and retention strategy.
- **Feasibility:** Can you build and implement the solution? You may check the venture's sustainability and reduce its risks by testing the technology and resources available and the predicted activities and potential partners, thus reducing risks.
- **Viability:** Can you earn more money than you spend on the solution? You try to predict the financial aspects of the solution (prices, costs, profits, etc.) to reduce the potential risks and disclose possible opportunities.

There must be proper tools and metrics to allow this evaluation and, therefore, assess your business model.

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METHODOLOGIES FOR ASSESSING YOUR BUSINESS MODEL

There are a handfull of methodologies to assess your business model. Let's see each of them.

BUSINESS MODEL CANVAS AND SWOT ANALYSIS

Alexander Osterwalder and Pigneur's Business Model Canvas is the most famous tool for business modeling in the world. It is composed of nine building blocks, which can map every aspect of the business. These building blocks are:

- Customer Segments
- Value Propositions
- Channels
- Customer Relationships
- Revenue Streams
- Key Partners
- Key Activities

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- Key Resources
- Cost Structure

After filling out all the nine blocks of the canvas, a SWOT analysis may be used in conjunction with the Business Model Canvas to provide the basis for marketing strategy and decision-making.

You can assess each of the nine building blocks (with its particular strengths, weaknesses, opportunities, and threats) or the whole canvas (with the big picture's interconnections and implications). You can also perform both the SWOT analysis, the specific and the whole, to have a detailed and comprehensive assessment.

Analyzing particularly
To analyze the strengths and weaknesses, as well as the opportunities and threats of each building block, you must:

1. Map the business model using the Business Model Canvas.
2. Score each block from 1 to 10 (1 for very weak and 10 for very strong).
3. Score each block again, from 1 to 10 (1 for threat level and 10 for opportunity level).
4. Those blocks classified between 1-5 are weaknesses/threats. And those above five are potential strengths/opportunities.

Analyzing the bigger picture
After analyzing each of the nine building blocks, you will notice that all of those blocks are related and connected. For example, the quantity and quality of your key activities and key resources will affect the size of your cost structure.

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That's why it is imperative that you also assess the business model canvas as a whole, considering overall strengths, weaknesses, opportunities, and threats, thus filling out an extra SWOT framework.

Therefore, to have both analyses succeeded, it is necessary to have a proper tool, like this Business Model Canvas SWOT Analysis Assessment Spreadsheet, with tabs that help you analyze the strengths, weaknesses, opportunities, and threats of your business model with a complete dashboard where your business model canvas needs to improve.

The SWOT analysis will also help put everyone in your team on the same page, making everybody understand the business model better, resulting in more effective conversions and better strategic outcomes.

EVALUATION CRITERIA FROM MORRIS, SCHINDEHUTTE, RICHARDSON AND ALLEN, 2006

For Morris, Schindehutte, Richardson, and Allen, the concept of business model "*describe[s] a company's unique value proposition (the business concept), how the firm uses its sustainable competitive advantage to perform better than its rivals over time (strategy), and whether, as well as how the firm can make money now and in the future (revenue model).*"

For these authors, the business model assessment must include:

- Company's competitive advantage, which is the result

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of a company's unique competencies;

- Value network, i.e., partners, such as suppliers, alliances, and trade associations, among others;
- Value proposition, since it defines how the solution delivers value to the customers;
- Set of internal rules and processes that keep the company functioning daily;
- Cost elements and everything that represents the cost for the company during the products life cycle;
- Company's strategy, with its actionable plans and priorities for the future;
- Revenue and pricing considerations.

NICE FRAMEWORK FROM AMIT & ZOTT

Amit and Zott established four significant criteria for analysis. Their analysis aims at e-businesses primarily, but it can be applied to brick-and-mortar companies as well. The four criteria are:

1. **Novelty:** it is how the company keeps renewing, including everything the company can do as a new and never employed-before approach in the industry.
2. **Lock-in:** also called switching costs, it is the ability to build a loyal relationship with customers and partners that cannot be dissolved in favor of the competition.
3. **Complementarities:** it is when the company has several product lines, and they compliment each one

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in a way that if the customer buys one, they will want to buy a second one, making a more meaningful purchase.

4. **Efficiency:** efficiency refers to cost optimization - the bigger the volume of transactions, the less the cost incurred per transaction.

HAMEL 4 PERFORMANCE INDICATORS

Hammel also defines four performance indicators to assess the business model. His four criteria are:

1. **Efficiency:** unlike Amit and Zott's, efficiency here refers to the company's ability to deliver the value proposition to the target market.

2. **Uniqueness:** describes how novel and unique the premise of the company's existence is.

3. **Fit:** how the various building blocks connect and complement each other.

4. **Profit Boosters:** how much the company employs "profit boosters" may increase its returns over the industry average.

7 QUESTIONS BY ALEXANDER OSTERWALDER

These are seven questions to assess your business model design. You must rank your business model's performance on a 0 (bad) scale to 10 (excellent) for each question.

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1. How difficult/expensive is it for your customer to switch to the competition?
Switching costs represent the time, energy, or money your customer needs to spend if they wish to switch from your product or service to another similar. The higher these costs are, the smaller is the chance your customer leaves for the product or service of a competitor.

- **Examples:** Apple, iPod, Nespresso, games consoles, razor blades, printers, and cartridges.
- **Call to action:** Can you increase the switching costs without annoying your customer?

2. How rapidly and easily can you scale your business model?
Scalability defines how easy and quick it is to grow your business model without increasing the cost base. Software and web-based business models are naturally more scalable. Still, any business models already configured to face a surge in customer demand will have a meaningful advantage compared to those that will need continuous adjustments.

- **Examples:** Facebook, Zynga (creator of games like Farmville), Skype, Uber, WhatsApp, franchising.
- **Call to action:** How can you make your business model (or parts of it) more scalable?

3. Can your business model produce recurring revenues?
Recurring revenues happen when your customer's purchases lead to follow-up sales. The most classic example of recurring revenue is subscriptions to newspapers and magazines. Recurring revenues have two significant advantages: the cost of sales is only, and the revenues are repetitive, and you can predict how much you will earn in the future.

- **Examples:** Redhat, Microsoft, Kindle, Amazon Prime,

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Xiaomi, SaaS, printer and cartridges, game consoles.

- **Call to action:** How can you increase your recurring revenues and maybe even entirely replace transactional revenues?

4. Do you earn before you spend?
The more revenues the company can generate before incurring the costs of producing and delivering value, the better. Dell was the pioneer of this business model back in 1990. Typically, PC manufacturers would make them and then sell through retailers, where PCs would wait on the shelves and lose value.

Dell started assembling orders after selling directly, thus not having to spend a lot of money before earning and escaping the hardware industry's terrible inventory depreciation costs.

- **Examples:** Dell, Vistaprint, Ministry of Supply, NikeID, Warby Parker.

- **Call to action:** Could you earn more before spending?

5. How much do you get customers or third parties to do the work (for free)?
Nothing can be more powerful than getting others to do the work while you earn money. It is what happens, for example, when IKEA sells furniture and gets the customers to assemble it. Or when Facebook, Instagram, and Twitter get users to post content while simply providing the platform.

- **Examples:** IKEA, Twitter, Facebook, Instagram, LinkedIn, Tupperware, credit card companies.

- **Call to action:** How could you get others to do more work for you?

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6. How much does your business model protect you from the competition?
A great business model can provide you with longer-term protection from competition. A famous example is Apple's iPhone. There may even be better smartphones out there. But Apple's robust business model has its app store with thousands of apps. This ecosystem is hard to copy, much harder than the brand's technology.

- **Examples:** Apple, Amazon Web Services
- **Call to action:** Could you redesign your business model in a way that creates built-in protection?

7. Is your cost structure better than your competitors?
Cutting costs is a widespread practice in the business game. Nevertheless, whenever possible, it is more gainful to create value based on your cost structure. Skype, for example, can 11 provide calls for free or very low cost. Because, while a telecom provider needs a considerable infrastructure, Skype is a software company, and its essential resources are mainly people.

- **Examples:** Skype, Bharti Airtel (one of the world's largest mobile network providers), Nike's Flyknit shoes, Redhat
- **Call to action:** Can you transform your cost structure rather than simply trimming it?

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ASSESSING THE BUSINESS MODEL SPACE

Besides assessing your business model design, you must evaluate your business model space, i.e., the whole environment, with its Market Forces, Key Trends, Industry Forces, and Macroeconomic Forces.

Only by mapping out markets, trends, customer needs, competitors, and more, will you be able to make your business prepared for innovations, such as new associations, new patterns and processes, and ultimately new business model ideas.

INDUSTRY FORCES

Competitors (Incumbents) - To identify your competitors and their strengths, ask yourself:

- Who are my competitors?
- Who are the dominant players in my particular sector?
- What are their competitive advantages or disadvantages?
- Which Customer Segments are they focusing on?
- What is their Cost Structure?
- How much influence do they exert on my Customer Segments, Revenue Streams, and margins?

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New Entrants (Insurgents) - To identify new insurgent players and check if they compete with your business model, ask yourself:

- Who are the new entrants in my market?
- How are they different?
- What competitive advantages or disadvantages do they have?
- Which barriers must they overcome?
- What are their Value Propositions?
- Which Customer Segments are they focused on?
- What is their cost structure?
- To what extent do they influence my Customer Segments, Revenue Streams, and margins?

Substitute Products and Services - To identify potential substitutes for your offers, ask yourself:

- Which products or services could replace mine?
- How much do they cost compared to mine?
- How easy is it for customers to switch to these substitutes?
- What business model traditions do these substitute products stem from (e.g., Skype versus long-distance telephone companies)?

Stakeholders - To identify which actors may influence your organization and business model, ask yourself:

- Which stakeholders might influence my business

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model?

- How influential are shareholders? Workers? The government? Lobbyists?

Suppliers and other Value Chain Actors - To identify essential partners for your business and how dependent you are on them, ask yourself:

- Who are the key players in my industry value chain?
- To what extent does my business model depend on other players?
- Are peripheral players emerging?
- Which are most profitable?

MARKET FORCES

Market Issues - To identify critical issues driving and transforming your market from Customer and Offer perspectives, ask yourself:

- What are the crucial issues affecting the customer landscape?
- Which shifts are underway?
- Where is the market heading

Market Segments - To identify the major market segments, their attractiveness, and to spot new segments, ask yourself:

- What are the essential Customer Segments?
- Where is the most significant growth potential?
- Which segments are declining?

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- Which peripheral segments deserve attention?

Needs & Demands - To identify market needs and how well they are served, ask yourself:

- What do customers need?
- Where are the most significant unsatisfied customer needs?
- What do customers want to get done?
- Where is demand increasing and declining?

Switching Costs - To identify the elements related to customers switching business to competitors, ask yourself:

- What binds customers to a company and its offer?
- What switching costs prevent customers from defecting to competitors?
- Is it easy for customers to find and purchase similar offers?
- How important is the brand?

Revenue Attractiveness - To identify elements related to revenue attractiveness and pricing power, ask yourself:

- What are customers willing to pay for?
- Where can the most significant margins be achieved?
- Can customers easily find and purchase cheaper products and services?

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KEY TRENDS

Technology Trends - To identify technology trends that could threaten or improve your business model, ask yourself:

- What are the major technology trends both inside and outside my market?
- Which technologies represent significant opportunities or disruptive threats?
- Which emerging technologies are peripheral customers adopting?

Regulatory Trends - To identify regulations and regulatory trends that influence your business model, ask yourself:

- Which regulatory trends influence my market?
- What rules may affect my business model?
- Which regulations and taxes affect customer demand?

Socioeconomic Trends - To identify major socioeconomic trends which are relevant to your business model, ask yourself:

- What are the key demographic trends?
- How would I characterize income and wealth distribution in my market?
- How high are disposable incomes?
- What are the spending patterns in my market (e.g., housing, healthcare, entertainment, etc.)?
- What portion of the population lives in urban areas as opposed to rural settings?

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Societal and Cultural Trends - To identify major societal trends that may influence your business model, ask yourself:

- Which shifts in cultural or societal values affect my business model?
- Which trends might influence buyer behavior?

MACRO-ECONOMIC FORCES

Global Market Conditions - To identify current overall conditions from a macroeconomic perspective, ask yourself:

- Is the economy in a boom or bust phase?
- How is general market sentiment?
- What is the GDP growth rate?
- How high is the unemployment rate?

Capital Markets - To identify current capital market conditions and relate to your capital needs, ask yourself:

- What is the state of the capital markets?
- How easy is it to obtain funding in my particular market?
- Is seed capital, venture capital, public funding, market capital or credit readily available?
- How costly is it to procure funds?

Commodities and Other Resources - To identify current prices and price trends for resources required for your business model, ask yourself:

- What is the current status of markets for commodities

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and other resources essential to my business?

- How easy is it to obtain the resources needed to execute my business model?
- How costly are they?
- Where are prices headed?

Economic Infrastructure - To identify the economic infrastructure of the market in which your business operates, ask yourself:

- How good is the (public) infrastructure in my market?
- How would I characterize transportation, trade, school quality, and access to suppliers and customers?
- How high are individual and corporate taxes?
- How good are public services for organizations?
- How would I rate the quality of life?

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CONCLUSION

Although we must be realistic when assessing our business model, it is good to keep in mind that no business model will ever score a perfect 10 for every aspect.

By asking yourself the questions above and by seeking to improve your business model's score on at least some of its elements, you are very likely to increase the long-term success of your business.

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ABOUT THE AUTHOR

Daniel Pereira is a Brazilian-Canadian entrepreneur that has been designing and analyzing business models for over 15 years. You can read more about his journey as a Business Model Analyst **here**.



E-mail Daniel if you have any questions at: daniel@businessmodelanalyst.com
You can connect with Daniel at Linkedin: https://www.linkedin.com/in/dpereirabr/

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